



Future-Proofing Care: IHH's Strategic Path to RM 5 Billion Growth

Navigating disruption and expanding leadership through targeted capital deployment

Prepared for: IHH Healthcare Berhad

Framework: Three Horizons



IHH must strategically deploy RM 5 billion to defend core, capture adjacencies, and innovate for future value

- IHH's strong foundation, with FY2024 revenue of RM 25 billion and an EBITDA margin of 22%, faces disruption from AI/telemedicine and margin pressures in medical tourism.
- The already committed RM 4 billion capex for Gleneagles Penang (opening 2027) and Mount Elizabeth Singapore expansions addresses immediate capacity needs.
- Our Three Horizons framework provides clarity for allocating the additional RM 5 billion across 2026-2030 to mitigate risks and seize opportunities for sustained growth.
- Key focus areas include digital transformation, scaling medical tourism, and prudent capital recycling to ensure long-term value creation.

KEY TAKEAWAY: A balanced investment approach across horizons is critical to sustain leadership amidst evolving market dynamics and growing capital intensity within the healthcare sector.

Optimizing our premium core assets will unlock RM 1.5-2 billion in incremental value

- Pantai and Gleneagles brands command 25-30% premium pricing, necessitating continuous service excellence and cost optimization to defend margins against rising labor costs and competitors like KPJ Healthcare.
- The Fortis India turnaround, with 18% YoY revenue growth in FY2024 following the 2018 acquisition, demonstrates strong operational leverage, but high capital intensity remains a challenge for scaling.
- Medical tourism volumes recovered to a record 1.3 million visitors in Malaysia in 2024, generating RM 2 billion in revenue, but competition from Thai hospitals pressures pricing for our Acibadem and Malaysian facilities.
- Aggressive operational efficiency and targeted asset enhancement across our 80+ hospitals are paramount to maintain IHH's 22% EBITDA margins and strong market position against Raffles Medical Group.

KEY TAKEAWAY: Aggressive operational efficiency and targeted asset enhancement are crucial to defend IHH's premium positioning and maximize returns from existing core assets.

Leveraging digital and scale will capture RM 2-2.5 billion in new revenue streams

- AI diagnostics and telemedicine are reshaping care delivery, with competitors like Raffles Medical announcing a partnership with Tencent's WeDoctor in 2024, highlighting the urgency to scale digital services.
- Expanding IHH's successful medical tourism model, particularly leveraging Acibadem's strength as the largest contributor, into new source markets or specialized treatments can capture significant adjacent revenue.
- Strategic consolidation or partnerships in key markets like India (building on Fortis' success) and Southeast Asia could expand IHH's network effect and market share against rivals like Sunway Medical.
- Exploring capital recycling mechanisms like healthcare REIT structures, as signalled by Bank Negara, offers a pathway to unlock capital from existing assets for growth initiatives.

KEY TAKEAWAY: Proactive investment in scalable digital health platforms and strategic market expansion are vital to capture significant mid-term growth beyond the traditional hospital model.

Targeted 'future bets' will position IHH as an innovator for long-term resilience

- The rapid evolution of AI diagnostics and personalized medicine requires IHH to explore strategic partnerships and incubation models to stay ahead of the curve and mitigate digital-native risks.
- Investing in truly digital-native care models or value-based care pilots could unlock new revenue streams and redefine patient engagement in the next decade.
- Experimentation with novel healthcare delivery platforms or remote monitoring solutions will build capabilities for unforeseen disruptions and future market shifts.
- Small, focused investments in early-stage health tech ventures could provide insights and potential acquisition targets to ensure long-term relevance and competitive advantage.

KEY TAKEAWAY: Strategic, agile investments in nascent technologies and disruptive care models are essential to build a resilient and innovative IHH capable of leading future healthcare paradigms.

Balancing growth horizons optimizes the RM 5 billion capex for sustainable leadership

OPTION A

Option A — 'Defensive Digital Leader': Allocate RM 2.5B to H1, RM 2B to H2, RM 0.5B to H3. This prioritizes strengthening the core, investing heavily in digital integration for existing services (telemedicine, AI for operational efficiency within hospitals), and making measured bets on future tech. Pros: Mitigates immediate risks, strong operational returns. Cons: May be slower to capture entirely new market segments.

OPTION B

Option B — 'Aggressive Market Expander': Allocate RM 1.5B to H1, RM 3B to H2, RM 0.5B to H3. This focuses on scaling successful models (e.g., Fortis-like acquisitions in new regions), aggressive digital service expansion (e.g., standalone telemedicine clinics), and using REITs for H1 capital recycling. Pros: High growth potential, rapid market share gains. Cons: Higher execution risk, potential overstretch.

OPTION C

Option C — 'Future-Forward Innovator': Allocate RM 2B to H1, RM 1.5B to H2, RM 1.5B to H3. This emphasizes a significant commitment to R&D, strategic partnerships for AI diagnostics, and developing new care models, while maintaining core operational excellence and selective adjacent growth. Pros: Positions IHH as an industry leader in innovation, long-term competitive advantage. Cons: Higher risk of failed bets, potentially slower short-to-mid-term returns.

KEY TAKEAWAY: A deliberate allocation strategy across the horizons is vital to balance immediate performance, mid-term growth, and long-term optionality in a rapidly evolving sector.

We recommend 'Option A: Defensive Digital Leader' to secure IHH's premium position and build future resilience

- This option dedicates RM 2.5 billion to Horizon 1, focusing on optimizing the 80+ strong hospital network, enhancing core services, and implementing efficiency gains to defend the 22% EBITDA margin.
- RM 2 billion for Horizon 2 will drive critical digital transformation across the existing footprint, including scaling telemedicine capabilities and integrating AI diagnostics to directly counter Raffles Medical's Tencent partnership.
- A prudent RM 0.5 billion for Horizon 3 allows for strategic exploration of new technologies and partnerships without diluting the focus on core and adjacent growth, ensuring IHH remains future-aware.
- This approach ensures sustainable growth, leverages the current RM 4 billion capex commitments (Gleneagles Penang, Mount Elizabeth), and prudently manages the capital intensity observed in Fortis India.

KEY TAKEAWAY: Prioritizing core strength and digital integration, while making strategic future bets, provides the most robust path for IHH to achieve sustainable leadership and optimize shareholder value over the next decade.